CHAPTER-6 DISSOLUTION OF PARTNERSHIP/FIRM

Dissolution means coming to an end. The relationship between partners is fiduciary in nature and can be ended by mutual understanding. Dissolution is said to have taken place with the end of the relation of partnership between partners and closing of the business of the partnership firm.

Dissolution of partnership may not necessarily result into dissolution of the business. Thus, it becomes all the more essential to understand what dissolution of partnership means and how it is different from dissolution of partnership firm.

Dissolution of Partnership:

Dissolution of partnership refers to the end of the relation subsisting between the partners. This may take place in any of the following ways:

1) Change in existing profit-sharing ratio among partners;
2) Admission of a new partner;
3) Retirement of a partner;
4) Death of a partner;
5) Insolvency of a partner;
6) Completion of the venture, if partnership is formed for that; and
7) Expiry of the period of partnership, if partnership is for a specific period of time;

Dissolution of Partnership Firm:

Dissolution of the firm necessarily brings in dissolution of the partnership.
Dissolution of a partnership firm may take place without the intervention of court or by the order of a court.

Dissolution of a firm takes place in any of the following ways:

1. Dissolution by Agreement:

(a) with the consent of all the partners or
(b) in accordance with a contract between the partners.

2. Compulsory Dissolution:

(a) when all the partners or all but one partner, become insolvent, rendering them incompetent to sign a contract;
(b) when the business of the firm becomes illegal; or
(c) when some event has taken place which makes it unlawful for the partners to carry on the business of the firm in partnership. (Supervening Impossibility)

3. On the happening of certain contingencies:

(a) if constituted for a fixed term, by the expiry of that term;
(b) if constituted to carry out one or more ventures, by the completion thereof;
(c) by the death of a partner;
(d) by the adjudication of a partner as an insolvent.

4. Dissolution by Notice: In case of partnership at will, the firm may be dissolved if any one of the partners gives a notice in writing to the other partners, signifying his intention of seeking dissolution of the firm.

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5. Dissolution by Court: At the suit of a partner, the court may order a partnership firm to be dissolved on any of the following grounds:

(a) when a partner becomes insane;
(b) when a partner becomes permanently incapable of performing his duties as a partner;
(c) when a partner is guilty of misconduct which is likely to adversely affect the business of the firm;
(d) when a partner persistently commits breach of partnership agreement;
(e) when a partner has transferred the whole of his interest in the firm to a third party;
(f) when the business of the firm cannot be carried on except at a loss; or
(g) when, on any ground, the court regards dissolution to be just and equitable.

Distinction between Dissolution of Partnership and Dissolution of Firm

Basis	Dissolution of partnership	Dissolution of Firm
Continuity of Business	The business of the firm is not affected and continues	The business of the firm comes to an end
Settlement of accounts	All assets and liabilities are revalued at their current values and new balance sheet if drawn	All the assets are realised and liabilities are settled.
Role of Court	The court does not intervene	A firm may be dissolved due to order of court
Books of accounts	The books of accounts are continued but with revalued figures of all assets and liabilities	The books of accounts are closed
Inter-relationship	It may result into dissolution of firm	It always involves dissolution of partnership

Effects of Dissolution of Firm:

1. The partnership Firm comes to an end along with the relation subsisting among the partners.
2. The accounts are settled by Realisation of all assets and payment of all liabilities of the firm.
3. The partners are paid out of the left-over excess of assets over liabilities of the firm in their PSR or in the CSR or as per the agreement between the partners.

Procedure/steps involved in accounting at the time of Dissolution of firm:

1. Identify the profit-sharing ratio or capital sharing ratio among all partners.
2. Make adjustment for any reserve or surplus or accumulated losses that appear in the balance sheet by transferring them to partner's capital accounts in PSR.
3. Realize all assets and pay all liabilities by preparing Realisation account.
4. Make payment to partner's capital account.
5. Prepare cash account which must tally on its own.

When the firm is dissolved, its books of account are to be closed and the profit or loss arising on Realisation of its assets and discharge of liabilities is to be computed. For this purpose, a Realisation Account is prepared to ascertain the net effect (profit or loss) of Realisation of assets and payment of liabilities which may be is transferred to partner's capital accounts in their profit-sharing ratio. Hence, all assets (other than cash in hand bank balance and fictitious assets, if any), and all external liabilities are transferred to this account. It also records the sale of assets, and payment of liabilities and Realisation expenses. The balance in this account is termed as profit or loss on Realisation which is transferred to partners' capital accounts in their profit-sharing ratio.

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Preparation of Realisation Account

Realisation account is a prepared in 2 parts, the 1st part is used to close the assets and liabilities as it exists in the balance sheet. The 2nd part of the account deals with the Realisation of all assets and payment of all liabilities. The net profit or loss in the account is finally transferred to all capital accounts in the PSR.

Dr. Realisation A/c Cr.

Particulars	Amount ₹	Particulars	Amount ₹
To All assets (at BS Values)	XX	By All liabilities (at BS Values)	XX
To Cash/Bank (R. Exp)	XX	By Cash/Bank (Assets sold)	XX
To Cash/Bank (liabilities paid)	XX	By Partner Capital A/c (Asset taken over)	XX
To Partner Capital A/c (Liability assumed)	XX		
To Profits transferred in Old PSR:*		By Loss transferred in Old PSR:*	
A ---		A ---	
B ---	XX	B ---	XX
Total:	**XXXX**	**Total:**	**XXXX**

* Any one

Accounting Entries at the time of Dissolution:

1. Transfer of Assets to Realisation Account:

   All assets **except cash, bank and other fictitious assets** are transferred to Realisation account including goodwill, copyrights, trademarks etc. at the values at which they appear in the balance sheet. If any provision is made against an asset, then the asset will be transferred at its gross value and the provision account will be closed separately by transferring it to the credit side of the Realisation account.

   Realisation A/c Dr.
   To All Assets A/c

2. Transfer of Liabilities to Realisation Account:

   All liabilities **except partner's capital/current accounts and accumulated reserves/losses** will be transferred to Realisation account at the values at which they appear in the balance sheet.

   All Liabilities A/c Dr.
   To Realisation A/c

3. Transfer of Accumulated Reserves, Profit or Losses appearing in Balance Sheet:

   All reserves, accumulated profits and losses will not be transferred to Realisation account. Instead, they will be distributed among partners in old profit-sharing ratio.

4. Partner's Loan Account will not be transferred to Realisation account and it will have to be closed by paying in cash before any repayment is made to partners for their capital amount. However, any loan taken from outsider or Bank will be transferred to Realisation account and will be paid off through cash account.

5. Sale of Assets for cash:

   Cash/Bank A/c Dr.
   To Realisation A/c

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6. Asset taken over by partner:

Partner Capital A/c	Dr.
To Realisation A/c	

7. Asset taken over by any creditor as a consideration of amount due:

No Entry will be done. However, the amount due to creditor will have to be reduced and the value of asset taken over will also be reduced. Remaining asset will be realised and remaining liability will be paid off.

8. Liability Paid in cash:

Realisation A/c	Dr.
To Cash/Bank	

9. Liability taken over by partner:

Realisation A/c	Dr.
To Partner Capital A/c	

10. Sale of unrecorded Asset/ Payment of unrecorded Liability:

Once the assets and liabilities are transferred to Realisation account (1st Part), they become unrecorded form the books of accounts. Hence there is no difference in the treatment of such assets and liabilities which were not recorded before.

11. For payment of Realisation expenses:

(a) When some expenses are incurred and paid by the firm:

Realisation A/c	Dr.
To Bank A/c	

(b) When Realisation expenses are paid by a partner on behalf of the firm:

Realisation A/c	Dr.
To Partner's Capital A/c	

(c) When a partner has agreed to undertake the dissolution work for an agreed remuneration and to bear the Realisation expenses:

(i) For agreed remuneration to such partner

Realisation A/c	Dr.
To Partner's Capital A/c	

(ii) if payment of Realisation expenses is made by the firm

Partner's Capital A/c	Dr.
To Bank A/c	

(iii) if the partner himself pays the Realisation expenses, no entry is required

Name:	**Borne By (Debit)**	**Paid By (Credit)**
Firm	Realisation A/c	Bank / Cash A/c
Partner	P. Capital A/c	P. Capital A/c

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12. Profit/Loss on Realisation

Realisation A/c To Partner's Capital A/c	Dr. (Profit)
Partner's Capital A/c To Realisation A/c	Dr. (Loss)

13. Treatment of Workmen Compensation Reserve:

a) No Liability arise towards workmen compensation or when there is no information about it – Distribute WCR in old PSR between all partners and post it in capital accounts
b) The amount of liability is equal to WCR – Transfer full amount of WCR to Realisation account. Thereafter make payment of liability of workmen compensation in Realisation account and cash account.
c) The amount of liability is less than the amount of WCR – Transfer an amount equal to liability from WCR to Realisation account and distribute remaining balance of WCR in old PSR between all partners and post it in capital accounts. Thereafter make payment of liability of workmen compensation in Realisation account and cash account.
d) The amount of liability is more than the amount of WCR - Transfer full amount of WCR to Realisation account. Thereafter make payment of liability of workmen compensation in Realisation account and cash account.

14. Points to remember in case of missing information:

a) In case no information is available regarding realizable value of any Tangible Asset whether Fixed or Current – it is assumed that those assets have been realized at their book values.
b) In case no information is available regarding realizable value of any Intangible Asset – it is assumed that those assets have NIL realizable value.
c) In case no information is available regarding payment for any liability – it is assumed that an amount equal to book value of liability is paid to settle that liability.
d) Loan given by a partner to the firm must be paid back before any amount is paid towards capital repayment to partners.

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Test Your Knowledge & Practice

Passing Journal Entries at the time of Dissolution of Firm

1. All the partners want to dissolve the firm. Y, a partner wants that his loan of ₹ 80,000 must be paid off before the payment of capitals of the partners. But X, another partner wants that capitals must be paid before the payment of Y's loan. Who is correct?

2. All the partners want to dissolve the firm. Y, a partner wants that his loan of ₹ 80,000 must be paid off before the payment of Mrs. X's loan. But X, another partner wants that Mrs. X's loan must be paid before the payment of Y's loan. Who is correct?

3. A and B are partners in a firm sharing profits in the ratio of 3:2. Mrs. A has given a loan of ₹ 1,00,000 to the firm and the firm also obtained a loan of ₹ 50,000 from B. The firm was dissolved and its assets were realised for ₹ 1,25,000. State the order of payment of Mrs. A's Loan and B's Loan with reason, if there were no other creditors of the firm.

4. Pass the necessary journal entries for the following transactions on the dissolution of the firm of X and Y (who were sharing profits in the ratio of 3:1) after the transfer of all assets (other than Cash) and external liabilities to Realisation Account:
   (a) An Unrecorded Furniture worth ₹ 18,000 is taken over by X at ₹ 12,000,
   (b) An Unrecorded Liability of ₹ 18,000 is settled at ₹ 10,800 and paid by Y,
   (c) A Machine having a book value of ₹ 30,000 is given away to firm's creditor of ₹ 26,400 at an agreed valuation of 80% towards full & final payment of his dues,
   (d) Firm pays actual Realisation Expenses of ₹ 10,800 on behalf of Y, a partner who has to bear the expenses,
   (e) Loan from X, a partner of ₹ 13,200 appears on the liabilities side of the Balance Sheet of the firm and X's Capital Account has a debit balance of ₹ 1,200.

5. Pass Journal entries for the following transactions:
   (a) Realisation expenses amounted to ₹ 10,000.
   (b) Realisation expenses amounted to ₹ 5,000 were paid by a partner.
   (c) Realisation expenses amounted to ₹ 5,000 were paid by the firm on behalf of a partner.
   (d) A partner was paid remuneration (including expenses) of ₹ 7,500 to carry out dissolution of the firm. Actual expenses were ₹ 10,000.
   (e) Dissolution expenses were ₹ 8,000. Out of the said expenses, ₹ 3,000 were to be borne by the firm and the balance by a partner. ₹ 8,000 are paid by the firm.
   (f) Dissolution expenses were ₹ 8,000; ₹ 3,000 were to be borne by the firm and the balance by a partner. The expenses were paid by a partner.
   (g) Realisation expenses of ₹ 5,000 were to be borne and paid by a partner,
   (h) X, the partner, is paid remuneration of ₹ 5,000 for dissolution of the firm. Realisation expenses of ₹ 8,000 are met by the firm.
   (i) Realisation expenses of ₹ 5,000 were to be borne by X, a partner. However, it was paid by Y.

6. What Journal entries will be passed in the books of A and B sharing profits and losses in the ratio of 3:1, for the following transactions on dissolution of the firm?
   (a) An unrecorded asset realised ₹ 25,000.
   (b) Stock of ₹ 20,000 was taken by partner A.
   (c) Creditors were paid ₹ 30,000.
   (d) B to bear Realisation expenses for which he will get ₹ 1,900. The actual expenses paid by B were ₹ 1,500.
   (e) There was a balance of ₹ 10,000 in the General Reserve Account on the date of dissolution.
   (f) Profit on Realisation of ₹ 40,000 is to be distributed between partners A and B in the ratio of 3:1.

7. Pass necessary Journal entries for the following transactions at the time of dissolution of the firm:
   (a) Realisation expenses ₹ 3,000 paid.

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(b) Realisation expenses amounting to ₹ 2,000 paid by Mr. X, a partner, who was to bear these expenses.
(c) Y, a partner, took a machine for ₹ 20,000.
(d) Z, a partner, agreed to take a creditor of ₹ 30,000 for ₹ 20,000.
(e) A, a partner, has given loan to the firm of ₹ 10,000. It was paid back to him at the time of dissolution.

8. Pass Journal entries for the following transactions at the time of dissolution of the firm:
(a) Loan of ₹ 10,000 advanced by a partner to the firm was refunded.
(b) X, a partner, takes over an unrecorded asset (Typewriter) at ₹ 300.
(c) Undistributed balance (Debit) of Profit and Loss Account ₹ 30,000. The firm has three equal partners X, Y and Z.
(d) Assets of the firm realised ₹ 1,25,000.
(e) Y who undertakes to carry out the dissolution proceedings is paid ₹ 2,000 for the same.
(f) Creditors were paid ₹ 28,000 in full settlement of their account of ₹ 30,000.

9. What Journal entries would you pass in the following cases:
(a) Expenses of Realisation ₹ 1,500.
(b) Expenses of Realisation ₹ 600 but paid by Mohan, a partner.
(c) Mohan, one of the partners of the firm, was asked to look into the dissolution of the firm for which he was allowed a commission of ₹ 2,000.
(d) Motor car of book value ₹ 50,000 taken over by creditors of the book value of ₹ 40,000 in final settlement.

10. Pass Journal entries for the following:
(a) Realisation expenses of ₹ 10,000 were paid by Ajay, a partner.
(b) Realisation expenses of ₹ 15,000 were to be met by Rahul, a partner, but were paid by the firm.
(c) Ramesh, a partner, was paid remuneration of ₹ 25,000 and he was to meet all expenses.
(d) Anuj, a partner, was paid remuneration of ₹ 20,000 and he was to meet all expenses. Firm paid an expense of ₹ 5,000.

11. Pass Journal entries for the following:
(a) Realisation expenses amounted to ₹ 10,000 were paid by the firm on behalf of Alok, a partner, with whom it was agreed at ₹ 7,500.
(b) Realisation expenses amounted to ₹ 5,000. It was agreed that the firm will pay ₹ 2,000 and balance by Ravinder, a partner.
(c) Dissolution expenses amounted to ₹ 10,000 were paid by Amit, a partner, on behalf of the firm.

12. Pass the necessary Journal Entries for the following transactions on the dissolution of the firm of A and B after the various assets (other than cash) and outside liabilities have been transferred to Realisation Account:
(a) Stock ₹ 96,000, A took over 50% of the Stock at a discount of 20%. Remaining Stock was sold off at a profit of 30% on cost.
(b) Debtors ₹ 79,200, Provision Doubtful debts ₹ 7,200; ₹ 14,400 of the book debts proved bad.
(c) Land and Building (Book Value ₹ 39,600) sold for ₹ 1,80,000 through a broker who charged 2%.
(d) Plant and Machinery (Book Value ₹ 36,000) was handed over to a creditor at a discount of 10%
(e) Investments (Book Value ₹ 4,000) realised 150%.
(f) Goodwill of ₹ 18,000 and Prepaid Fire Insurance of ₹ 1,200.

13. Pass the necessary journal entries to record the Realisation of following unrecorded assets on the dissolution of firm of X and Y.
(a) There was old furniture in the firm which had been written off completely in the books. This was sold for ₹ 1,800.
(b) Z, an old customer whose account for ₹ 600 was written off as bad in the previous year, paid 60%.
(c) A partner Mr. X agreed to take over the firm's goodwill (Not recorded in the books of the firm) at a valuation of ₹ 18,000.
(d) A joint life policy having a surrender value of ₹ 6,000 remained unrecorded.

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(e) There was an old typewriter which had been written off completely from the books. It was estimated to realize ₹ 240. It was taken away by Mr. Y a partner at the estimated price less 25%.
(f) There were 60 shares of ₹ 10 each in Star Ltd. acquired at a cost of ₹ 1,200 which had been written off completely from the books. There shares are valued @ ₹ 6 each and divided among the partners in their profit-sharing ratio.

14. Pass Journal entries for the following transactions on the dissolution of the firm of T and P after various assets (other than cash) and outside liabilities have been transferred to Realisation Account:
(a) Bank Loan of ₹ 34,000 was paid.
(b) Furniture worth ₹ 70,000 was taken by partner T at ₹ 43,000.
(c) Partner P agreed to pay a creditor ₹ 7,500.
(d) A computer previously written off fully, realised ₹ 3,900.
(e) Expenses of Realisation ₹ 3,200 were paid by partner T.
(f) Profit on Realisation ₹ 4,800 was distributed between T and P in 5:3 ratio.

15. Pass Journal entries for the following at the time of dissolution of a firm:
(a) Sale of Assets—₹ 50,000.
(b) Payment of Liabilities—₹ 10,000.
(c) A commission of 5% allowed to Mr. X, a partner, on sale of assets.
(d) Realisation expenses amounted to ₹ 15,000. The firm had agreed with Amrit, a partner, to reimburse him up to ₹ 10,000.
(e) Z, an old customer, whose account for ₹ 6,000 was written off as bad in the previous year, paid 60% of the amount written off.
(f) Investment (Book Value ₹ 10,000) realised 150%.

16. Parul, Payal and Priyanka are partners. They decided to dissolve their firm. Pass necessary Journal entries for the following after various assets (other than Cash and Bank) and the third-party liabilities have been transferred to Realisation Account:
(a) There were total Debtors of ₹ 76,000. A Provision for Doubtful Debts also stood in the books at ₹ 6,000. ₹ 12,000 Debtors proved bad and rest paid the amount due.
(b) Parul agreed to pay off her husband's loan of ₹ 7,000 at a discount of 5%.
(c) A machine which was not recorded in the books was taken over by Payal at ₹ 3,000, whereas its expected value was ₹ 5,000.
(d) A contingent liability (not provided for) of ₹ 4,000 was also discharged.
(e) The firm had a debit balance of ₹ 27,000 in the Profit and Loss Account on the date of dissolution.
(f) Priyanka paid Realisation expenses of ₹ 15,000 out of her pocket and she was to get a remuneration of ₹ 18,000 for completing the dissolution process.

17. Pass necessary Journal entries for the following transactions on the dissolution of the firm of P and Q after the various assets (other than cash) and outside liabilities have been transferred to Realisation Account:
(a) Bank Loan of ₹ 12,000 was paid.
(b) Stock worth ₹ 16,000 was taken over by partner Q.
(c) Partner P paid a creditor ₹ 4,000.
(d) An asset not appearing in the books of accounts realised ₹ 1,200.
(e) Expenses of Realisation ₹ 2,000 were paid by partner Q.
(f) Profit on Realisation ₹ 36,000 was distributed between P and Q in 5:4 ratio.

18. X, Y and Z are partners in a firm sharing profits in the ratio of 3:2:1 respectively. The firm was dissolved on 01.03.2023. After transferring assets (other than cash) and third-party liabilities to the 'Realisation Account' you are provided with the following information:
(a) There was a balance of ₹ 18,000 in the firm's Profit and Loss Account.
(b) There was an unrecorded bike of ₹ 50,000 which was taken over by X.
(c) Creditors of ₹ 5,000 were paid ₹ 4,000 in full settlement of accounts.

19. Pass the necessary Journal entries for the following transactions on the dissolution of the firm of A and B after the various assets (other than cash) and outside liabilities have been transferred to Realisation Account:

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(a) B undertook to pay Mrs. B's loan of ₹ 18,000.
(b) Trade Creditors ₹ 96,000. Half the Trade Creditors accepted plant and machinery at an agreed valuation of ₹ 32,400 and Cash in full settlement of their claims after allowing a discount of ₹ 9,600. Remaining Trade Creditors were paid 95% in final settlement.
(c) Bills Payable of ₹ 24,000 due after 1 month were discharged @ 18% discount p.a.
(d) Employees Provident Fund ₹ 6,000 to be paid.

20. Pass the necessary journal entries to record the discharge of following unrecorded liabilities:
(a) There was a contingent liability in respect of bills discounted but not matured of ₹ 2,200. An acceptor of one bill of ₹ 300 became insolvent and fifty paise in a rupee was recovered. The liability of the firm on account of this bill discounted and dishonoured has not so far been recorded.
(b) There was a contingent liability in respect of a claim for damages for ₹ 22,500. Such liability was settled for ₹ 10,800 and was undertaken by a partner Mr. X to pay.
(c) The firm was required to pay ₹ 3,000 as compensation to an employee for an injury suffered by him, which was a contingent liability not accepted by the firm.
(d) ₹ 1,200 for damages claimed by a customer had been disputed by the firm. It was agreed at 75% by a compromise between the customer and the firm.

21. Disha, Mohit and Nandan are partners. They decided to dissolve the firm. Pass the necessary Journal entries for the following after the various assets (other than Cash & Bank) and outside liabilities have been transferred to Realisation Account:
(a) An old typewriter which was not recorded in the books was sold for ₹ 1,200 whereas its expected value was ₹ 3,000.
(b) Stock of ₹ 42,000 was taken by Disha at a discount of 30%.
(c) Total creditors of the firm were ₹ 12,000. A creditor for ₹ 1,200 was untraceable and other creditors accepted payment allowing 10% discount.
(d) Mohit paid Realisation expenses of ₹ 10,800 out of his private funds, who was to get remuneration of ₹ 7,800 for completing the dissolution process and was responsible to bear all the Realisation expenses.
(e) Nandan had taken a loan of ₹ 30,000 from the firm, which was paid fully by him to the firm.
(f) ₹ 7,200 were recovered from a debtor which was written off as Bad debts last year.

22. X and Y were partners sharing profits in the ratio of 3:2. Give Journal entries under following situation at the time of dissolution of firm:
(a) Workmen Compensation Reserve stood at ₹ 75,000 in the Balance Sheet and there was no liability towards Workmen Compensation.
(b) Workmen Compensation Reserve stood at ₹ 60,000 and liability for it was ascertained at ₹ 35,000.
(c) Workmen Compensation Reserve stood at ₹ 60,000 and liability in respect of it was ascertained at ₹ 75,000.
(d) Workmen Compensation Reserve stood at ₹ 60,000 and liability in respect of it was ascertained at ₹ 60,000.
(e) There was no Workmen Compensation Reserve and firm had to pay ₹ 15,000 as compensation to the workers.

Preparation of Realisation Account, Capital Accounts and Cash Account

23. Ramesh and Umesh were partners in a firm sharing profits in the ratio of their capitals. On 31st March, 2023, their Balance Sheet was as follows:

Liabilities		**₹**	**Assets**	**₹**
Creditors		1,70,000	Bank	1,10,000
Workmen Comp. Reserve		2,10,000	Debtors	2,40,000
General Reserve		2,00,000	Stock	1,30,000
Ramesh's Current A/c		80,000	Furniture	2,00,000
Capital A/cs:			Machinery	9,30,000
Ramesh	7,00,000		Umesh's Current A/c	50,000
Umesh	3,00,000	10,00,000		
		16,60,000		**16,60,000**

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On the above date the firm was dissolved. Prepare Realisation Account.
(a) Ramesh took over 50% of stock at ₹ 10,000 less than book value. The remaining stock was sold at a loss of ₹ 15,000. Debtors were realised at a discount of 5%.
(b) Furniture was taken over by Umesh for ₹ 50,000 and machinery was sold for ₹ 4,50,000.
(c) Creditors were paid in full.
(d) There was an unrecorded bill for repairs for ₹ 1,60,000 which was settled at ₹ 1,40,000.
(Ans: Loss on Realisation: ₹ 8,07,000)

24. A and B are equal partners of a firm. They decide to dissolve their partnership on 31st March, 2023 at which date their Balance Sheet stood as:

Liabilities		₹	Assets	₹
Capital A/c's:			Building	45,000
A	50,000		Machinery	15,000
B	40,000	90,000	Furniture	12,000
General Reserve		8,000	Debtors	8,000
A's Loan A/c		3,000	Stock	24,000
Creditors		14,000	Bank	11,000
		1,15,000		**1,15,000**

(a) The assets realised were:
Stock ₹ 22,000; Debtors ₹ 7,500; Machinery ₹ 16,000; Building ₹ 35,000.
(b) B took over the Furniture at ₹ 9,000.
(c) A agreed to accept ₹ 2,500 in full settlement of his Loan Account.
(d) Dissolution Expenses amounted to ₹ 2,500.
Prepare Realisation Account; Capital Accounts of Partners; A's Loan Account; Bank Account.
(Ans: Loss on Realisation: ₹ 16,500; Amount Paid to A: ₹ 45,750; B: ₹ 26,750)

25. Balance Sheet of a firm as at 31st March, 2023, when it was decided to dissolve the same, was:

Liabilities		₹	Assets	₹
Sundry Creditors		14,000	Cash at Bank	640
General Reserve		500	Stock	4,740
Capital A/c's:			Debtors	5,540
X	4,000		Machinery	10,580
Y	3,000	7,000		
		21,500		**21,500**

₹ 19,500 were realised from all assets except Cash at Bank. The cost of winding up came to ₹ 440. X and Y shared profits in the ratio of 2:1 respectively.
Prepare Realisation Account and Capital Accounts of Partners.
(Ans: Loss on Realisation: ₹ 1,800; Cash paid to X and Y: ₹ 3,133 and ₹ 2,567 respectively)

26. Given below is the Balance Sheet of A, B and C on which date they dissolved their partnership. They shared profits and losses in the ratio of 4:3:3. It was decided that C shall be in charge of Realisation and distribution. For this purpose, he was to get as his remuneration, 1% of the value of assets realised other than Cash at Bank and 10% of the amount distributed to the partners.

Liabilities	₹	Assets	₹
A's Capital	6,600	Cash at Bank	165
B's Capital	2,700	Sundry Assets	32,235
C's Capital	7,200		
Sundry Creditors	9,000		
Employees' Provident Fund	900		
General Reserve	6,000		
	32,400		**32,400**

Sundry Assets were realised for ₹ 27,900 and Creditors were paid in full. Prepare a Realisation Account, Cash at Bank Account and Partners' Capital Accounts.
(Ans: Loss on Realisation: ₹ 6,240, Final Payment to: A: ₹ 6,504, B: ₹ 2,628, C: ₹ 9,033, Commission to C: ₹ 279 + ₹ 1,626)

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27. P, Q and R were partners in a firm sharing profits and losses in the ratio of 5:3:2. They agreed to dissolve their partnership firm on 31st March, 2023. P was deputed to realize the assets and pay the liabilities. He was paid ₹ 1,000 as commission for his services. The financial position of the firm was:

Liabilities		₹	Assets		₹
Creditors		10,000	Stock		5,500
Bills Payable		3,700	Investments		15,000
Investments Fluct. Reserve		4,500	Debtors	7,100	
Capital A/c's:			Less: Provision for DD	450	6,650
P	37,550		Cash		5,600
Q	15,000	52,550	R's Capital A/c		8,000
			Plant and Machinery		30,000
		70,750			**70,750**

P took over Investments for ₹ 12,500. Stock and Debtors realised ₹ 11,500. Plant and Machinery were sold to Q for ₹ 22,500 for cash. Unrecorded assets realised ₹ 1,500. Realisation expenses paid amounted to ₹ 900.

Prepare necessary Ledger Accounts to close the books of the firm.

(Ans: Loss on Realisation: ₹ 6,550; Cash paid to P: ₹ 22,775 and Q: ₹ 13,035; Cash brought in by R: ₹ 9,310)

28. A, B and C are in partnership sharing profits and losses in the proportions of 1/2, 1/3 and 1/6 respectively. On 31st March, 2023, they decide to dissolve the partnership and the position of the firm at this date is represented by the following Balance Sheet:

Liabilities		₹	Assets	₹
Creditors		40,000	Cash at Bank	3,000
Loan A/c:			Stock	50,000
A		10,000	Sundry Debtors	50,000
Capital A/c's:			Land and Building	57,000
A	60,000			
B	40,000			
C	10,000	1,10,000		
		1,60,000		**1,60,000**

During the course of Realisation, a liability under a suit for damages is settled at ₹ 20,000 as against ₹ 5,000 only provided for in the books of the firm.

Land and Building were sold for ₹ 40,000 and the Stock and Sundry Debtors realised ₹ 30,000 and ₹ 42,000 respectively. The expenses of Realisation amounted to ₹ 1,200.

You are required to prepare Realisation Account, Partners' Capital Accounts and Bank Account in the books of the firm.

(Ans: Loss on Realisation: ₹ 61,200; Cash paid to A: ₹ 29,400; B: ₹ 19,600; Cash brought in by C: ₹ 200)

29. X, Y and Z are in partnership decided to dissolve their firm on 31.12.2023 and Y was appointed to realise all assets. Y was to receive 10% commission on the amount realized from Plant and Machinery and Debtors. Their position on the date of dissolution was as follows:

Liabilities		₹	Assets	₹
Creditors		12,690	Plant and Machinery	18,225
Bills Payable		2,000	Land	4,210
Workmen Compensation Reserve		5,000	Debtors	8,325
Profit & Loss A/c		1,000	Bank	5,290
Capital A/c's:			Z's Capital A/c	640
X	10,000			
Y	6,000	16,690		
		36,690		**36,690**

The firm was dissolved on the above date and the following transactions took place:

Machinery was sold for ₹ 23,000; Debtors realized ₹ 7,900; Goodwill was sold for ₹ 1,250; Realisation Expenses paid ₹ 270. Creditors worth ₹ 8,000 accepted Land at 20% less than the book value and ₹ 100 in full settlement of their claims; remaining Creditors were paid ₹ 100 less than the book value.

During the course of dissolution, Bills Payable were settled at ₹ 3,500 against ₹ 2,000 provided in the books of the firm. Further, one the of worker met with an accident and ₹ 2,000 was paid for his treatment.

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Prepare Realisation Account, Capital Accounts and Bank Account.
(Ans: Profit on Realisation: 4530; Amount paid to partners: X: 12843, Y: 11933, Z: 2204)

30. Following was the Balance Sheet of A and B as at 31st March, 2023:

Liabilities	₹	Assets	₹
Creditors	38,000	Cash at Bank	11,500
Mrs. A's Loan	10,000	Stock	6,000
B's Loan	15,000	Debtors	19,000
Reserve	5,000	Furniture	4,000
A's Capital	10,000	Plant	28,000
B's Capital	8,000	Investments	10,000
		Profit and Loss A/c	7,500
	86,000		**86,000**

The firm was dissolved on 31st March, 2023 and both the partners agreed to the following:
(a) A took Investments at an agreed value of ₹ 8,000. He also agreed to settle Mrs. A's Loan.
(b) Other assets realised as under:
Stock—₹ 5,000; Debtors—₹ 18,500; Furniture—₹ 4,500; Plant—₹ 25,000.
(c) Expenses of Realisation came to ₹ 1,600.
(d) Creditors agreed to accept ₹ 37,000 in full settlement of their claims.
Prepare Realisation Account, Partners' Capital Accounts and Bank Account. The profits and losses were shared in the ratio of 3:2.
(Ans: Loss on Realisation: ₹ 6,600; A to be paid: ₹ 6,540; B to be paid: ₹ 4,360)

31. Balance Sheet of P, Q and R as at 31st March, 2023, who were sharing profits in the ratio of 5:3:1, was:

Liabilities		₹	Assets		₹
Bills Payable		40,000	Cash at Bank		40,000
Loan from Bank		30,000	Stock		19,000
Reserve Fund		9,000	Sundry Debtors	42,000	
Capital A/c's:			Less: Provision for		
P	44,000		Doubtful Debts	2,000	40,000
Q	36,000		Building		40,000
R	20,000	1,00,000	Plant and Machinery		40,000
		1,79,000			**1,79,000**

The partners dissolved the business. Assets realised—Stock ₹ 23,400; Debtors 50%; Fixed Assets 10% less than their book value. Bills Payable were settled for ₹ 32,000. There was an Outstanding Bill of ₹ 800 which was paid off. Realisation expenses ₹ 1,250 were also paid.
Prepare Realisation Account, Partners' Capital Accounts and Bank Account.
(Ans: Loss on Realisation: ₹ 16,650; Amount Payable to P: ₹ 39,750; Q: ₹ 33,450; R: ₹ 19,150; Total of Bank A/c: ₹ 1,56,400)

32. A, B and C were equal partners. On 31st March, 2023, their Balance Sheet stood as:

Liabilities		₹	Assets	₹
Creditors		50,400	Cash	3,700
Reserve		12,000	Stock	20,100
Capital A/c's:			Debtors	62,600
A	30,000		Investments	16,000
B	25,000		Furniture	6,500
C	15,000	70,000	Building	23,500
		1,32,400		**1,32,400**

The firm was dissolved on the above date on the following terms:
(a) For the purpose of dissolution, Investments were valued at ₹ 18,000 and A took over the Investments at this value.
(b) Fixed Assets realised ₹ 29,700 whereas Stock and Debtors realised ₹ 80,000.
(c) Expenses of Realisation amounted to ₹ 1,300.
(d) Creditors allowed a discount of ₹ 800.

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(e) One Bill Receivable for ₹ 1,500 under discount was dishonoured as the acceptor had become insolvent and was unable to pay anything and hence the bill had to be met by the firm.

Prepare Realisation Account, Partners' Capital Accounts and Cash Account showing how the accounts would finally be settled among the partners.

(Ans: Loss on Realisation: ₹ 3,000; Cash paid to A, B and C: ₹ 15,000; ₹ 28,000; ₹ 18,000 respectively)

33. A and B are partners in a firm sharing profits and losses in the ratio of 2:1. On 31st March, 2023, their Balance Sheet was:

Liabilities	**₹**	**Assets**		**₹**
Bank Overdraft	30,000	Cash in Hand		6,000
General Reserve	56,000	Bank Balance		10,000
Investments Fluct. Reserve	20,000	Sundry Debtors	26,000	
A's Loan	34,000	Less: Provision for DD	2,000	24,000
A's Capital A/c	50,000	Investments		40,000
		Stock		10,000
		Furniture		10,000
		Building		60,000
		B's Capital A/c		30,000
	1,90,000			**1,90,000**

On that date, the partners decide to dissolve the firm. A took over Investments at an agreed valuation of ₹ 35,000. Other assets were realised as follows:

Sundry Debtors: Full amount, Stock at 15% less and Furniture at 20% less than the book value. Building was sold at ₹ 1,00,000.

Compensation to employees paid by the firm amounted to ₹ 10,000. This liability was not provided for in the above Balance Sheet.

You are required to close the books of the firm by preparing Realisation Account, Partners' Capital Accounts and Bank Account.

(Ans: Profit on Realisation: ₹ 43,500; Payment to A: ₹ 81,333; B: ₹ 3,167; Total of Bank A/c: ₹ 1,58,500)

34. The following is the Balance Sheet of A and B who share profits and losses in the ratio of 3:2 on 31.12.2023.

Liabilities	**₹**	**Assets**		**₹**
Sundry Creditors	75,000	Cash at Bank		4,500
Bills Payable	30,000	Stock		25,000
Mrs. A's Loan	25,000	Debtors	40,500	
Workmen Comp. Fund	8,000	Less: Provision	1,000	39,500
Bank Loan	50,000	Bills Receivable		15,000
Reserve Fund	27,000	Investments		60,000
A's Capital	30,000	Plant and Machinery		80,000
B's Capital	40,000	Building		61,000
	2,85,000			**2,85,000**

On the above date, the firm is dissolved and the following arrangement was made:

(a) A promised to pay off Mrs. A's Loan and took away half the Investments at 10% discount.

(b) Stock and remaining Investments were sold at 10% discount.

(c) Goodwill was taken over by B for ₹ 40,000. He also agreed to pay off Bills Payable at a discount of 10%.

(d) Debtors realised ₹ 35,000, Bills Receivable ₹ 13,500, Plant and Machinery ₹ 38,900 and Buildings ₹ 1,20,000.

(e) There was a Car in the firm which was completely written off from the books. It was taken over by A for ₹ 23,400.

(f) Creditors were paid 90% in full and final settlement of their dues.

(g) The Expenses of dissolution amounted to ₹ 1,700 which was paid by B.

Prepare Realisation Account, Capital Accounts of the partners and the Cash Account in the books of the firm.

(Ans: Realisation Profit: ₹ 75,600; A gets ₹ 70,960 and B gets ₹ 72,940; Cash Account: ₹ 2,61,400)

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35. Mrs. Rita Chowdhary and Miss Sobha are partners in a firm, Fancy Garments Exports, sharing profits and losses equally. On 1st April, 2023, the Balance Sheet of the firm was:

Liabilities	₹	Assets		₹
Sundry Creditors	75,000	Cash		6,000
Bills Payable	30,000	Bank		30,000
Mr. Chowdhary's Loan	15,000	Stock		75,000
Reserve Fund	24,000	Book Debts	66,000	
Mrs. Rita Chowdhary's Capital	90,000	Less: Provision for Bad Debts	6,000	60,000
Miss Sobha's Capital	30,000	Plant and Machinery		45,000
		Land and Building		48,000
	2,64,000			**2,64,000**

The firm was dissolved on the date given above. The following transactions took place:
(a) Mrs. Rita Chowdhary undertook to pay Mr. Chowdhary's Loan and took over 50% of the Stock at a discount of 20%.
(b) Book Debts realised ₹ 54,000; balance of the Stock was sold off at a profit of 30% on cost.
(c) Sundry Creditors were paid out at a discount of 10%. Bills Payable were paid in full.
(d) Plant and Machinery realised ₹ 75,000. Land and Building ₹ 1,20,000.
(e) Mrs. Rita Chowdhary took over the goodwill of the firm at a valuation of ₹ 30,000.
(f) Realisation expenses were ₹ 5,250.
Show Realisation Account, Partners' Capital Accounts and Bank Account in the books of the firm.
(Ans: Profit on Realisation: ₹ 1,32,000; Amount paid to Mrs. Chowdhary: ₹ 1,23,000; Miss Sobha: ₹ 1,08,000)

36. A, B and C were in partnership sharing profits in the ratio of 7:2:1 and the Balance Sheet of the firm as at 31st March, 2023 was:

Liabilities		₹	Assets	₹
Capital A/c's:			Building	2,000
A	1,241		Plant	3,122
B	865		Goodwill	1,000
C	8,062	10,168	Stock	1,124
Creditors		1,121	100 Shares in X Ltd. (At cost)	240
Reserve for Depreciation on Plant		2,000	1,000 Shares in Y Ltd. (At cost)	1,000
			Debtors	874
			Bank	121
			Patents	3,808
		13,289		**13,289**

It was agreed to dissolve the partnership as on 31st March, 2023 and the terms of dissolution were—
(a) A to take over the Building at an agreed amount of ₹ 3,150;
(b) B, who was to carry on the business, to take over the Goodwill, Stock and Debtors at book value, the Patents at ₹ 3,000 and Plant at ₹ 500. He was also to pay the Creditors;
(c) C to take over shares in X Ltd. at ₹ 1.50 each and
(d) The shares in Y Ltd. to be divided in the profit-sharing ratio.
Show Ledger Accounts recording the dissolution in the books of the firm.
(Ans: Loss on Realisation: ₹ 370; A brings in: ₹ 2,868; B brings in: ₹ 4,786; C Receives: ₹ 7,775)

37. J, S and R were in partnership sharing profits and losses in the ratio of 3:2:1. Their Balance Sheet as at 31st March, 2023 was:

Liabilities		₹	Assets	₹
Capital A/c's:			Building	10,000
J	12,000		Plant	22,000
S	8,600		Stock	12,200
R	10,400	31,000	Debtors	5,000
Reserve Fund		3,000	Accrued Interest	1,000
Employees' Provident Fund		3,000	Cash	2,800
Depreciation Reserve		5,000		
Creditors		11,000		
		53,000		**53,000**

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It was agreed to dissolve the firm and the terms of the dissolution were:
(a) J took over Building at book value and agreed to pay off Creditors.
(b) Accrued Interest was not collected whereas there was a contingent liability of ₹ 600 which was met.
(c) Other assets realised Plant—₹ 25,000; Stock—₹ 11,200; Debtors—₹ 4,600.
(d) Realisation expenses ₹ 600.
Prepare Realisation Account, Partners' Capital Accounts and Cash Account.
(Ans: Profit on Realisation: ₹ 4,400; Final Payments to Partners: J: ₹ 16,700; S: ₹ 11,067; R: ₹ 11,633)

38. Krishna and Arjun are partners in a firm. They share profits in the ratio of 4:1. They decide to dissolve the firm on 31st March, 2023 at which date their Balance Sheet stood as:

Liabilities		**₹**	**Assets**		**₹**
Bank Loan		1,500	Trademarks		1,200
Creditors for Goods		8,000	Machinery		12,000
Bills Payable		500	Furniture		400
Capital A/c's:			Stock		6,000
Krishna	16,000		Debtors	9,000	
Arjun	6,000	22,000	Less: Provision for DD	400	8,600
			Cash at Bank		2,800
			Advertisement Suspense		1,000
		32,000			**32,000**

The realisation shows the following results:
(a) Goodwill was sold for ₹ 1,000.
(b) Debtors were realised at book value less 10%.
(c) Trademarks were realised for ₹ 800.
(d) Machinery and Stock-in-Trade were taken over by Krishna for ₹ 14,400 and ₹ 3,600 respectively.
(e) An unrecorded asset estimated at ₹ 500 was sold for ₹ 200.
(f) Creditors for goods were settled at a discount of ₹ 80. The expenses on realisation were ₹ 800.
Prepare Realisation Account, Partners' Capital Accounts and Bank Account.
(Ans: Loss on Realisation: ₹ 420; Final Payment to Arjun: ₹ 5,716; Cash brought in by Krishna: ₹ 3,136)

39. Following is the Balance Sheet of Aman and Vishal as on 31st December 2023:

Liabilities	**₹**	**Assets**	**₹**
Creditors	16,800	Cash	9,280
Mrs. Aman's Loan	4,000	Bank	560
Vishal's Loan	6,000	Debtors	2,400
Workmen Compensation Fund	4,000	Stock	4,000
Aman's Capital	3,200	Plant	4,000
Vishal's Capital	800	Investments	10,400
		Patents	1,160
		Goodwill	3,000
	34,800		**34,800**

Both the partners agreed to dissolve the business as on 31.12.2023 to the following purpose:
(a) Vishal agreed to take the Investments at an agreed value of ₹ 10,000.
(b) The other assets realised as under:
Stock ₹ 3,200; Debtors ₹ 7,400; Plant ₹ 6,000.
(c) Realisation Expenses were ₹ 2,000.
(d) The Creditors agreed to accept ₹ 16,000 in full settlement of their claims.
(e) Goodwill and Patents were taken over by Aman at book values.
(f) One of the workers met with an accident and ₹ 2,500 were payable for his treatment.
Prepare Realisation Account, Cash Account, Partners' Capital Accounts and Partners' Loan Accounts knowing that the profit was shared in the ratio of 3:1.
(Ans: Realisation Profit: ₹ 4,600; Aman gets ₹ 3,615 and Vishal brings ₹ 7,675; Cash A/c ₹ 34,115)

40. A, B and C were partners sharing profits in the ratio of 2:2:1. They decided to dissolve their firm on 31st March, 2023 when the Balance Sheet was:

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Liabilities		₹	Assets		₹
Creditors		40,000	Cash		40,000
Bills Payable		46,000	Debtors	70,000	
Employees' Provident Fund		32,000	Less: Prov. for DD	6,000	64,000
Mrs. A's Loan		38,000	Stock		50,000
C's Loan		30,000	Investments		60,000
Investments F. Reserve		16,000	Furniture		42,000
Capital A/c's:			Machinery		1,36,000
A	1,20,000		Land		1,00,000
B	1,00,000		Goodwill		30,000
C	1,00,000	3,20,000			
		5,22,000			**5,22,000**

Following transactions took place:
(a) A took over Stock at ₹ 36,000. He also took over his wife's loan.
(b) B took over half of Debtors at ₹ 28,000.
(c) C took over Investments at ₹ 54,000 and half of Creditors at their book value.
(d) Remaining Debtors realised 60% of their book value. Furniture sold for ₹ 30,000; Machinery ₹ 82,000 and Land ₹ 1,20,000.
(e) An unrecorded asset was sold for ₹ 22,000.
(f) Realisation expenses amounted to ₹ 4,000.
Prepare necessary Ledger Accounts to close the books of the firm.
(Ans: Loss on Realisation: ₹ 77,000; Final Payments: A: ₹ 91,200; B: ₹ 41,200; C: ₹ 50,600; Total of Cash A/c: ₹ 3,15,000)

Preparation of Memorandum Balance Sheet

41. There are two partners X and Y in a firm and their capitals are ₹ 50,000 and ₹ 40,000. The creditors are ₹ 30,000. The assets of the firm realise ₹ 1,00,000. How much will X and Y receive?
(Ans: X: ₹ 40,000; Y: ₹ 30,000)

42. A, B and C were partners sharing profits in the ratio of 5:3:2. On 31st March, 2023, A's Capital and B's Capital were ₹ 30,000 and ₹ 20,000 respectively but C owed ₹ 5,000 to the firm. The liabilities were ₹ 20,000. The assets of the firm realised ₹ 50,000. Prepare Realisation Account, Partners' Capital Accounts and Bank Account.
(Ans: C will pay ₹ 8,000; A will get ₹ 22,500 and B: ₹ 15,500)

43. A and B dissolve their partnership. Their position as at 31st March, 2023 was:

Particulars	₹
A's Capital	25,000
B's Capital	15,000
Sundry Creditors	20,000
Cash in Hand and at Bank	750

The balance of A's Loan Account to the firm stood at ₹ 10,000. The realisation expenses amounted to ₹ 350. Stock realised ₹ 20,000 and Debtors ₹ 25,000. B took a machine at the agreed valuation of ₹ 7,500. Other fixed assets realised ₹ 20,000.
You are required to close the books of the firm.
(Ans: Profit on Realisation: ₹ 2,900; A receives: ₹ 26,450 and B: ₹ 8,950)

44. M and N were partners sharing profits in the ratio of 3:2. On the date of dissolution their capitals were- M: ₹ 7,650, N: ₹ 4,300. The creditors amounted to ₹ 27,500. The balance of cash was ₹ 760. The assets realised ₹ 25,430. The expenses on dissolution were ₹ 1,540. All partners were solvent.
Close the books of the firm, showing the Realisation, Capital and Cash Account, (show the workings clearly).
(Ans: Loss on Realisation: ₹ 14,800; M and N brings ₹ 1,230 & ₹ 1,620 respectively; Cash A/c: ₹ 29,040)

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45. Ashok and Kishore were in partnership sharing profits in the ratio of 3:1. They agreed to dissolve the firm. The assets (other than cash of ₹ 2,000) of the firm realised ₹ 1,10,000. The liabilities and other particulars on that date were:

Creditors	₹ 40,000	
Ashok's Capital	₹ 1,00,000	
Kishore's Capital	₹ 10,000	(Dr. Balance)
Profit and Loss A/c	₹ 8,000	(Dr. Balance)
Realisation Expenses	₹ 1,000	

You are required to close the books of the firm.
(Ans: Loss on Realisation: ₹ 11,000; Amount paid to Ashok: ₹ 85,750; Amount received from Kishore: ₹ 14,750)

46. P, Q & R were partners sharing profits in the ratio of 5:3:2. On 31st December 2023, P's capital and Q's capital were respectively ₹ 1,30,000 and ₹ 1,20,000 but R owed ₹ 5,000 to the firm. The Liabilities were ₹ 1,20,000. The Assets of the firm realised ₹ 3,50,000.
Prepare Realisation Account, Partners' Capital Accounts and Cash Account.
(Ans: Realisation A/c (Loss): ₹ 15,000; P Receives: ₹ 1,22,500; Q Receives: ₹ 1,15,500 and R brings: ₹ 8,000; Total of Cash A/c: ₹ 3,58,000)

47. A, B and C were in partnership sharing profits and losses in the ratio of 2:1:1. They decided to dissolve the partnership. On that date of dissolution, Sundry Assets (including cash ₹ 5,000) amounted to ₹ 88,000, assets realised ₹ 80,000 (including an unrecorded asset which realised ₹ 4,000). A contingent liability on account of bills discounted ₹ 8,000 was paid by the firm.
The Capital Accounts of A, B and C showed a balance of ₹ 20,000 each. Prepare Realisation Account, Partners' Capital Accounts and Cash Account.
(Ans: Recorded Liabilities: ₹ 28,000; Loss on Realisation: ₹ 11,000)

48. X, Y and Z entered into a partnership and contributed ₹ 9,000; ₹ 6,000 and ₹ 3,000 respectively. They agreed to share profits and losses equally. The business lost heavily during the very first year and they decided to dissolve the firm. After realising all assets and paying off liabilities, there remained a cash balance of ₹ 6,000.
Prepare Realisation Account and Partners' Capital Accounts.
(Ans: Loss on Realisation: ₹ 12,000; X receives: ₹ 5,000; Y receives: ₹ 2,000; Z brings in: ₹ 1,000)

49. A, B and C are three partners sharing profits and losses in the ratio of 3:3:2 respectively. Their respective capitals are in their profit-sharing proportions. On 1st January, 2023, the total capital of the firm and the balance of General Reserve are ₹ 8,00,000 and ₹ 24,000 respectively. During the year 2023, the firm made a Profit of ₹ 56,000 before charging interest on capital at 5%. The Drawings of the partners are A ₹ 18,000, B ₹ 17,000 and C ₹ 15,000. On 31st December, 2023, other Liabilities were ₹ 38,000.
On this date they decided to dissolve the firm. The Assets realised ₹ 8,90,000 and realisation Expenses amounted to ₹ 3,800. Prepare the necessary ledger accounts to close the books of the firm.
(Ans: Realisation A/c (Profit): ₹ 18,200; A, B and C Receives: ₹ 3,18,825, ₹ 3,19,825 and ₹ 2,09,550 respectively; Total of Cash A/c: ₹ 8,90,000)

50. A, B and C started business on 1st April, 2022 with capitals of ₹ 1,00,000; ₹ 80,000 and ₹ 60,000 respectively sharing profits (losses) in the ratio of 4:3:3. For the year ended 31st March, 2023, the firm suffered a loss of ₹ 50,000. Each of the partners withdrew ₹ 10,000 during the year.
On 31st March, 2023, the firm was dissolved, the creditors of the firm stood at ₹ 24,000 on that date and Cash in Hand was ₹ 4,000. The assets realised ₹ 3,00,000 and Creditors were paid ₹ 23,500 in full settlement of their claims.
Prepare Realisation Account and show your workings clearly.
(Ans: Profit on Realisation: ₹ 1,20,500; Capital as on 31st March, 2020; A: ₹ 70,000; B: ₹ 55,000; C: ₹ 35,000; Sundry Assets: ₹ 1,80,000)

51. On 1st April, 2022, A, B and C commenced business in partnership sharing profits and losses in proportion of 1/2, 1/3 and 1/6 respectively. They paid into their Bank A/c as their capitals: ₹ 10,000

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by A, ₹ 7,000 by B and ₹ 5,000 by C. During the year, they drew: ₹ 1,900 by A, ₹ 1,700 by B and ₹ 1,400 by C.
On 31st March, 2023, they dissolved their partnership, A taking up Stock at an agreed valuation of ₹ 5,000, B taking up Furniture at ₹ 2,000 and C taking up Debtors at ₹ 3,000. After paying up their Creditors, there remained a balance of ₹ 1,000 at Bank.
Prepare necessary accounts showing the distribution of the cash at the Bank and of the further cash brought in by any partner or partners as the case required.
(Ans: Loss on Realisation: ₹ 6,000)

52. X and Y were partners sharing profits and losses in the ratio of 3:2. They decided to dissolve the firm on 31st March, 2023. On that date, their Capitals were X: ₹ 40,000 and Y: ₹ 30,000. Creditors amounted to ₹ 24,000. Assets were realised for ₹ 88,500. Creditors of ₹ 16,000 were taken over by X at ₹ 14,000. Remaining Creditors were paid at ₹ 7,500. The cost of realisation came to ₹ 500. Prepare necessary accounts.
(Ans: Total Sundry Assets: ₹ 94,000; Loss on Realisation: ₹ 3,500; X receives: ₹ 51,900; Y: ₹ 28,600)

53. P, Q and R are three partners sharing profits and losses in the ratio of 3:3:2 respectively. Their respective capitals are in their profit-sharing proportions. On 1st April, 2022, the total capital of the firm and the balance of General Reserve are ₹ 80,000 and ₹ 20,000 respectively. During the year 2022-23, the firm made a profit of ₹ 28,000 before charging interest on capital @ 5%. The drawings of the partners are P—₹ 8,000; Q—₹ 7,000; and R—₹ 5,000.
On 31st March, 2023, their liabilities were ₹ 18,000. On this date, they decided to dissolve the firm. The assets realised ₹ 1,08,600 and realisation expenses amounted to ₹ 1,800.
Prepare necessary Ledger Accounts to close the books of the firm.
(Ans: Assets at the time of dissolution: ₹ 1,26,000; Loss on Realisation: ₹ 19,200; Final payments: P: ₹ 32,800; Q: ₹ 33,800; R: ₹ 22,200)

54. X, Y and Z entered into partnership on 1st April, 2021. They contributed capitals ₹ 40,000, ₹ 30,000 and ₹ 20,000 respectively and agreed to share profits in the ratio of 3:2:1. Interest on capital was to be allowed @ 15% p.a. and interest on drawings was to be charged at an average rate of 5%.
During the two years ended 31st March, 2023, the firm made profit of ₹ 21,600 and ₹ 25,140 respectively before allowing or charging interest on capital and drawings. The drawings of each partner were ₹ 6,000 per year.
On 31st March, 2023, the partners decided to dissolve the partnership due to difference of opinion. On that date, the creditors amounted to ₹ 20,000. The assets, other than cash ₹ 2,000, realised ₹ 1,21,000. Expenses of dissolution amounted to ₹ 760.
Draw up necessary Ledger Accounts to close the books of the firm.
(Ans: Capitals on 31st March, 2023: X: ₹ 50,530; Y: ₹ 33,580; Z: ₹ 16,630; Assets on 31st March, 2023: ₹ 1,18,740; Profit on Realisation: ₹ 1,500; Final Payment: X: ₹ 51,280; Y: ₹ 34,080; Z: ₹ 16,880; Total of Bank A/c: ₹ 1,23,000)

Concise Wallah